

ANNOUNCEMENT OF THE UNAUDITED RESULTS FOR THE SIX MONTHS ENDED 31 DECEMBER 2022

The Directors of East African Portland Cement PLC are pleased to announce the unaudited consolidated results for the six months period ended 31st December 2022

Condensed Consolidated Statement of Comprehensive Income for six months period ended:

	31 Dec 2022 Sh' 000	31 Dec 2021 Sh' 000
Revenue	1,497,803	967,601
Cost of Sales	(1,757,812)	(1,347,149)
Gross Loss	(260,009)	(379,548)
Other Operating Income	5,158	97,114
Administration and Selling Expenses	(550,336)	(532,443)
Loss from Operating Activities	(805,188)	(814,877)
Interest Income	-	-
Finance Costs	(1,928)	(101,281)
Loss Before Tax	(807,116)	(916,158)
Tax Credit	5,150	9,049
Loss After Tax	(801,966)	(907,109)
Other Comprehensive Income	1,763	(249)
Total Comprehensive Income	(800,203)	(907,358)
Earnings Per Share	(8.89)	(10.08)

Condensed Consolidated Statement of Financial Position as at:

	31 Dec 2022 Sh' 000	30 June 2022 Sh' 000
Assets		
Non-current assets	33,699,039	33,815,868
Current assets	2,111,396	2,033,605
Total assets	35,810,435	35,849,473
Equity and Liabilities		
Share capital	450,000	450,000
Other Reserves	20,331,087	21,131,291
Total equity	20,781,088	21,581,291
Non current liabilities	19,615	19,615
Current liabilities	15,009,733	14,248,567
Total liabilities	15,029,348	14,268,182
Total equity and liabilities	35,810,435	35,849,473

Condensed Consolidated Statement of Cash Flows for the six months period ended:

	31 Dec 2022 Sh' 000	31 Dec 2021 Sh' 000
Cash flow Generated from/ (Used in) Operations	79,493	(449,367)
Net Interest Paid	(1,927)	(3,113)
Cash Generated From/(Used in) Operating Activities	77,566	(452,480)
Net Cash Used in Investing Activities	(97,796)	411,043
Loan Restructuring	-	33,854
Net Cash Used in Financing Activities	-	33,854
Effect of foreign currency translation	1,763	(249)
Net Decrease in Cash and Cash Equivalents	(20,230)	(7,583)
Cash and Cash Equivalents as at 1st July	37,156	31,622
Cash and Cash Equivalents as at 31 December	18,689	23,791

Condensed Consolidated Statement of Changes in Equity as at:

	31 Dec 2022 Sh' 000	30 June 2022 Sh' 000
Share Capital	450,000	450,000
Share Premium	648,000	648,000
Asset Revaluation Reserve	1,031,948	1,031,948
Retained Earnings	18,347,642	19,149,608
Other Reserves	303,498	301,735
Total Equity	20,781,088	21,581,291

PERFORMANCE

The Company registered KES 530M increase in revenue occasioned by improved cement production following completion of the first phase of plant refurbishment concluded in September 2022. The Gross loss declined in spite of intensified competition, depreciation of the Kenya Shilling against the US Dollar and increased energy costs which countered gains from plant efficiency and cost containment. Decline in finance costs which was offset by marginal increase in administration and selling expenses owing to market regeneration efforts led to narrowing of the Loss Before tax by KES 109M.

OUTLOOK

Implementation of the first phase of the Company's five-year strategic plan dubbed 'New Dawn' continues in earnest, with significant progress made on the main pillars (Operational excellence, Market Regeneration and Customer Centricism, Financial Sustainability, People & Better planet). Continued focus on the Strategic Plan implementation is expected to reposition the business to deliver its customer value proposition and effectively mine from its strong brand equity accruing from 90 years of building the nation through provision of quality infrastructural solutions.

BY ORDER OF THE BOARD

FLORENCE C. MITEY

COMPANY SECRETARY

25 February 2023